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MAGNETO RESISTIVE TECHNOLOGY COMES TO THE RESCUE

Resurgent Tandon Group heads for Rs 600 cr

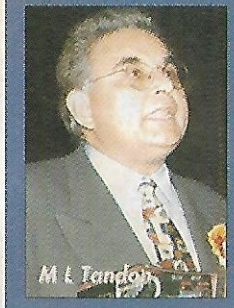
BAKUL GALA
Mumbai

THERE is high excitement within the Mumbai-based Tandon Group (TG) of companies - India's only manufacturer of head stacks used in storage devices- comprising of Advanced Technology Devices, Tancom Electronics, and Cortech Systems. Group Chairman M L Tandon, who has watched his companies' revenues roller coaster over the last 2 years, is brimming with confidence once again, because "group turnover is heading for a new high of Rs 600 crore from this year's (99-00) Rs 330 crore." In 1997-98, group revenue totaled over Rs 300 crore, but collapsed to under Rs 30 crore in 1998-99 as rapid technological change in storage devices made TG's products obsolete almost overnight.

Rapid induction of new technology and development of new products ensured that the group yo-yoed back up again. A newly resurgent TG has learnt its lessons well, and is reorganising to ensure a more even keeled future. Key to the reorganisation is the proposed merger of all his three companies into a single entity to be called Celetron, a name which will double as an umbrella brand for its entire range of products also. "We

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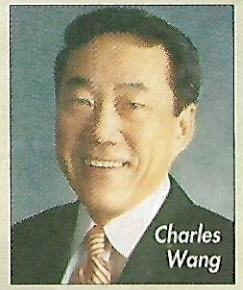
TANDON'S MAGIC: RISING LIKE A PHOENIX



- Group turnover zooms to Rs 600 crore from under Rs 35 crore two years ago
- Three companies to be merged into a single entity, named Celetron
- Number of employees to increase from 6000 to 7000

CA Chairman to visit India again

CIRCUIT EC
Mumbai



CHARLES Wang, Chairman of Computer Associates Inc (CA; 1999 revenues $ 6 billion) will visit India for the second time in months, this time to inaugurate the company's 1200 seat call center in Chennai. Wang will be in Mumbai, where CA's India subsidiary is headquartered, on December 6 and will fly down to Chennai on December 7, before returning to New York, where CA Inc is based. Wang's second visit comes close on the heels of Microsoft Chairman Bill Gates' second stop over in India, signifying the rising importance of this country in the growth plans of the world's software majors. CA has already invested $ 50 million in a wholly owned subsidiary and four joint ventures with Indian partners, and proposes to invest at least $ 50 million more over the next two years. India is the base for important applications development work for CA's Jasmine ii product, which is positioned as a platform for e-business solutions. CA has grown rapidly by acquiring smaller but innovative software firms around the world. It will not be surprising if Wang is also sizing the Indian market for acquisitions this time around. ◆

Sanchez Capital targets Indian legacy banks

Resurgent Tandon Group heads for Rs 600 cr

◀ Page 1

want to project one single identity as against the assorted company and brand names we now use. We have realised that our US client gets confused by this multiplicity. A single corporate entity and brand will have other advantages as well, including a single quality policy and a cohesive manufacturing policy where everybody will be working for a common goal," says T Vasu, Head of HR and Administration, TG.

In a few weeks time, his two flagship companies, Advanced Technology Devices (ATD) and Tancom Electronics (TE) both of which manufacture head stack assemblies and sub-assemblies will merge into Celetron, creating a mega entity in the process. Today ATD and TE combined revenues are in the tune of Rs 313 crore. Add to this Rs 17 crore contributed by Cortech Systems (CS), another Tandon company which is into power supply products and the total group turnover totals Rs 330 crore.

In the last two years, both ATD and TE have shown strange performances. First take ATD, a ISO 9002 certified company, where revenues in 98-99 dipped from Rs 98.5 crore to Rs 7.1 crore, a massive 90 per cent drop. Last year, that is 99-00, revenues zoomed to Rs 175.1 crore registering a stupendous 2400 per cent growth. Ditto with TE revenues, whose revenues dipped from Rs 93.7 crore in 97-98 to Rs 17 crore in 98-99. This company too showed a remarkable growth of 922 percent the next year, clocking a turnover of Rs 173 crore in 99-00.

Explaining the yo-yo act, Vasu says, "Earlier, we made 'metal in gap' head stacks which was sufficient for 64 MB and 1.2 GB drives. But as the hunger for more GB grew, the tracks per inch issue emerged. Globally, MIG paved way for thin film which could take upto 10.2 GB but we had not anticipated such a rapid switch over to the biggger sized drives, and we were caught somewhat unawares as the market for the older product virtually collapsed. Our revenues took a big hit in consequence, but we moved fast after that and we have now inducted Magneto Resistive technology which is capable of providing 30.6 GB to 40.8 GB. The change over took 18 months, which explains why our sales took a beating in 98-99."

The group has a combined installed capacity to make 30,000 head stacks per day and according to Vasu the company is operating to full capacity now. TG employ's a mammoth 6000 people. Ninety percent of the revenues come from hard disk drive (media) business and that too from one single customer, Western Digital Corporation of US, for which Tandon Group is an OEM supplier.


Tandon with Chidambaram and President Sharma

TG is looking at expanding its product portfolio and operations. "We will be adding systems, designs and the current product portfolio of Cortech Systems will be increased. We will be adding at least 1000 people on our payroll in order to sustain the organic growth," says Vasu.

Doubling its revenues and increasing its manpower will need loads of funds and TG seems to be well aware of it. As of now, the entire equity is in the hands of the Tandon family. But in the US, financial institutions have asked for a stake in Tandon Associates and a similar pattern could emerge at the home front. Rather than parting with a small slice of its equity, TG is contemplating an IPO sometime next year. ◆